

EV manufacturing scheme has too many caveats

The Union Government recently said that it would start accepting applications from global electric car manufacturers for **setting up** factories in India. This follows a Scheme to Promote Manufacturing of Electric Passenger Cars in India, announced on March 15, 2024. There is little to **ponder** over the motivation behind the scheme. India's **automotive market** — about ₹12.5 lakh crore (\$150 billion) big — **is** expected to double by 2030.

This **boom** will see a sharp rise in electric vehicles — electric **mobility** being a climate action **imperative**. Though two-wheelers and three-wheelers are sure to contribute the most to e-mobility, passenger car sales will also rise — 9-11 per cent of total vehicle sales (from 2.5 per cent today), according to the government's **think-tank**, NITI Aayog. If **a large number** of electric passenger cars **are** to be sold in India, why not get them produced within the country? This is the **premise on** which the scheme stands. But the question is: Is the scheme good enough to attract a flood of investments in electric passenger car manufacturing in the country? A closer look at the scheme does not leave one convinced of its **attractiveness**.

The scheme offers no **incentives** such as tax breaks, direct capital grants or even **sops** such as low-cost land allotment or energy subsidies. The only **sweetener** is the opportunity for an investor to import a certain number of fully built, high value (\$35,000) electric cars at a reduced customs duty of 15 per cent, for five years — against the regular duty of 110 per cent. Even this sop is bound by two **constraints**. First, a **maximum** of 8,000 cars per year **can** be imported. The **revenue foregone on account of** the **concessional** duty rate on such imports **shall** be only as much as the capital investment made by the car manufacturer, but not more than ₹6,484 crore. Second, there is also a minimum investment **threshold** of ₹4,150 crore and domestic value addition requirements of 25 per cent by the third year and 50 per cent by the fifth. India's scheme compares poorly with those in other developing countries, such as Thailand and Mexico.

Furthermore, all this is to be read **in conjunction with** the fact that Chinese manufacturers are to be kept out — which means the world's largest electric car **manufacturer**, BYD, **cannot** set shop in India. **Tesla**, according to the Heavy Industries Minister, HD Kumaraswamy, **is** not interested in coming to India — it seems to prefer to pay the full **customs duty**, open showrooms and be **content with a tiny sliver** of the market. **VinFast**, the Vietnamese e-car manufacturer, **is** already setting up a plant in India. Minister Kumaraswamy said at a press conference that car majors such as Mercedes, Skoda and Volkswagen are interested in building their factories in India, but it is difficult to believe that the scheme **mattered** in their decision. It appears that the scheme is about form over substance, seemingly supporting domestic car manufacturers such as Tata Motors, Mahindra, Maruti and Hyundai.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Caveat** (noun) – warning, caution, limitation, restriction, condition चेतावनी / शर्त
2. **Set up** (phrasal verb) – establish, launch, initiate, found, install स्थापित करना
3. **Ponder** (verb) – consider, reflect, contemplate, deliberate, think over विचार करना
4. **Boom** (noun) – surge, growth, upswing, expansion, rise तेजी / उछाल
5. **Mobility** (noun) – movement, transport, motion, travel, transit गतिशीलता
6. **Imperative** (noun) – necessity, requirement, command, essential, obligation अनिवार्यता
7. **Think-tank** (noun) – research group, policy institute, advisory body, brain trust, strategic unit विचार समूह / शोध संस्था
8. **Premise** (on) (noun) – assumption, foundation, basis, proposition, thesis आधार
9. **Attractiveness** (noun) – appeal, charm, desirability, allure, magnetism आकर्षण
10. **Incentive** (noun) – motivation, encouragement, inducement, stimulus, enticement प्रोत्साहन
11. **Sops** (noun) – benefits, perks, concessions, handouts, bribes रियायतें
12. **Sweetener** (noun) – inducement, bonus, lure, perk, extra benefit अतिरिक्त लाभ / रियायत
13. **Constraint** (noun) – limitation, restriction, curb, control, condition प्रतिबंध
14. **Foregone** (verb) – sacrificed, given up, surrendered, renounced, waived त्याग देना
15. **On account of** (phrase) – because of, due to, owing to, by reason of, as a result of के कारण
16. **Concessional** (adjective) – discounted, reduced, subsidized, preferential, favorable रियायती
17. **Threshold** (noun) – minimum level, starting point, limit, entry point, verge सीमा / प्रारंभिक स्तर
18. **Furthermore** (adverb) – moreover, also, additionally, in addition, besides इसके अलावा
19. **In conjunction with** (phrase) – together with, along with, combined with, in combination with के साथ मिलकर
20. **Custom duty** (noun) – a tax levied on goods when they are transported across international borders सीमा शुल्क

21. **Content** (with) (adjective) – satisfied, pleased, happy, fulfilled, accepting संतुष्ट

22. **A tiny sliver of something** (phrase) – small part, thin slice, fragment, bit, fraction बहुत छोटा हिस्सा

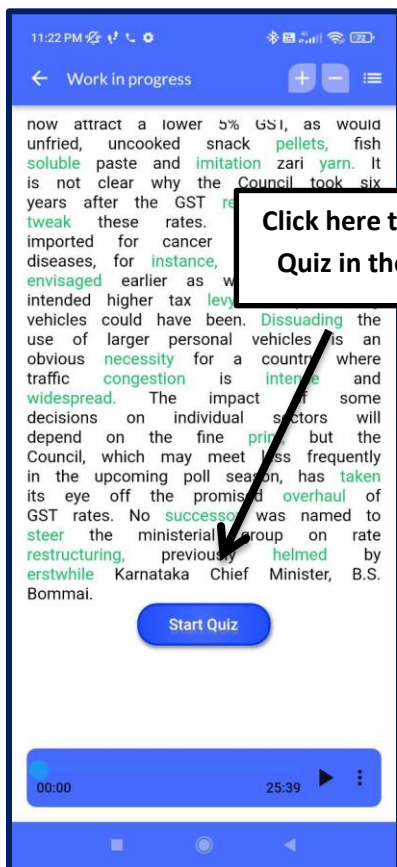
23. **Matter** (verb) – be important, count, influence, impact, signify महत्वपूर्ण होना

@mocks_wallah

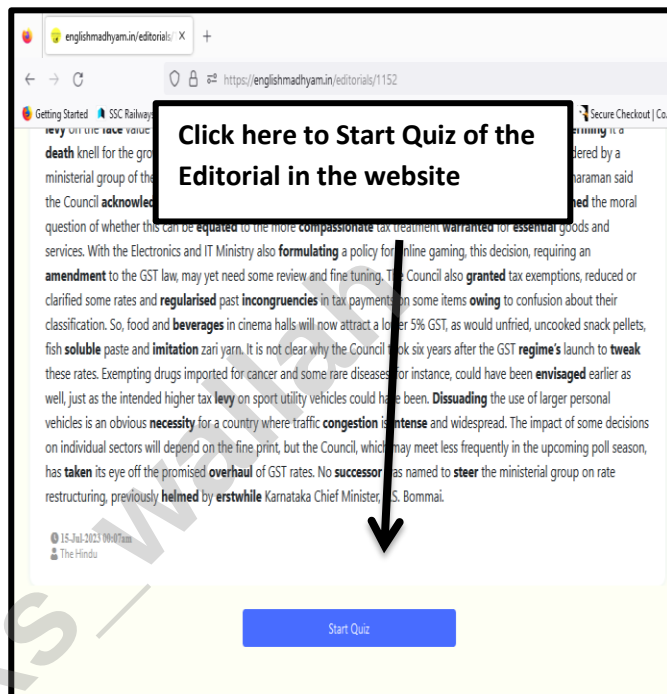
Summary of the Editorial

1. **Government Initiative:** The Union Government announced it will begin accepting applications from global electric car manufacturers to set up factories in India.
2. **Policy Background:** This move follows the "Scheme to Promote Manufacturing of Electric Passenger Cars in India" launched on **March 15, 2024**.
3. **Market Potential:** India's automotive market, worth ₹12.5 lakh crore (\$150 billion), is projected to double by 2030.
4. **Electric Mobility Push:** Electric vehicles are seen as critical for climate action, with significant growth expected in this sector.
5. **Role of Passenger Cars:** While two- and three-wheelers will lead e-mobility, passenger car sales are projected to rise to 9–11% of total vehicle sales (from the current 2.5%), per NITI Aayog.
6. **Domestic Production Logic:** The scheme is built on the rationale that electric passenger cars should be manufactured domestically if they are to be sold in large numbers.
7. **Lack of Incentives:** The scheme offers no typical investment incentives — no tax breaks, capital grants, or support like cheap land or energy subsidies.
8. **Import Concession:** The main benefit is a reduced customs duty (15% instead of 110%) for importing up to 8,000 fully built high-end EVs annually for five years.
9. **Conditional Benefit:** The total revenue foregone through this duty concession must not exceed the investor's capital investment or ₹6,484 crore, whichever is lower.
10. **Investment Requirements:** Companies must invest at least ₹4,150 crore and meet domestic value addition norms — 25% by the third year and 50% by the fifth.
11. **International Comparison:** The Indian scheme is less attractive compared to those in other countries like Thailand and Mexico, which offer more generous benefits.
12. **Exclusion of China:** Chinese electric car companies, including the global leader BYD, are excluded from the scheme.
13. **Tesla's Reluctance:** Tesla is reportedly uninterested in manufacturing in India and prefers to pay full duty and operate on a small scale.
14. **VinFast Presence:** Vietnamese electric car maker VinFast is already establishing a plant in India, independent of the scheme's incentives.
15. **Favoring Domestic Players:** The scheme appears more symbolic and may ultimately benefit established domestic manufacturers like Tata, Mahindra, Maruti, and Hyundai rather than attract significant foreign investment.

Practice Exercise: Banking Pattern Based



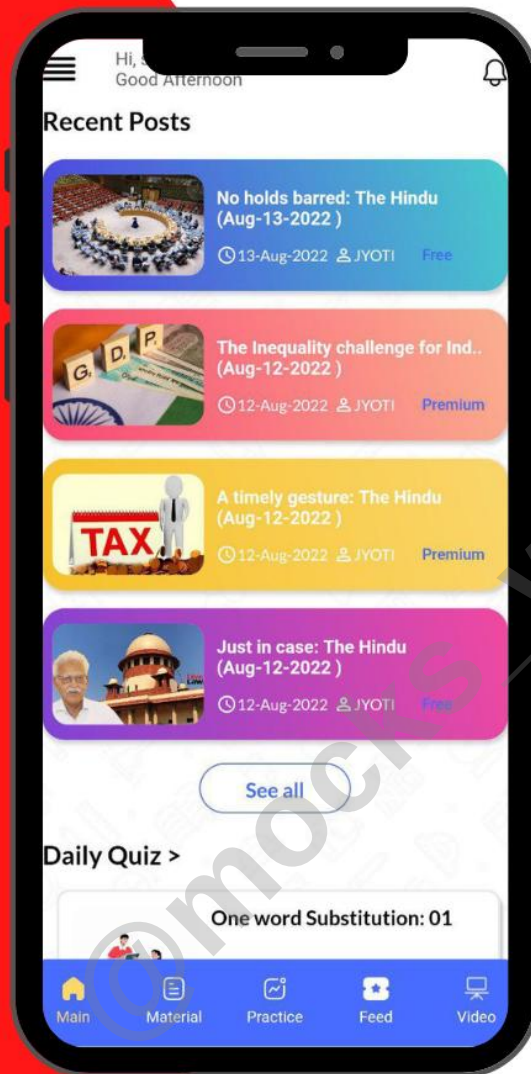
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